

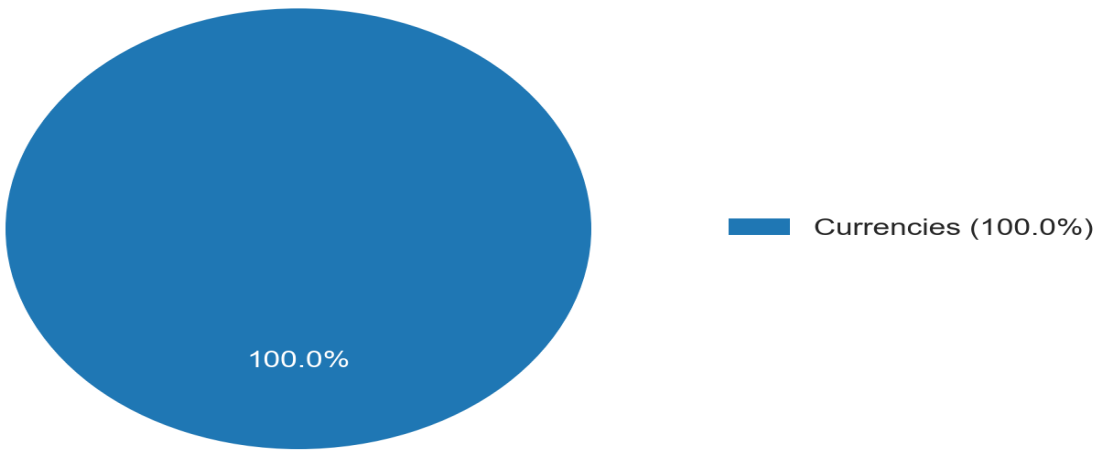
Portfolio rotation report

Date of extraction	2025-12-05 16:06
Data window	2019-01-01 → 2025-10-21
Frequency	Daily — 1772 observations. Sufficient depth: short- and long-term indicators are statistically reliable. Warning: the observation window exceeds the typical interpretability range for this frequency (+786.0% above the recommended upper bound). Results may blend multiple market regimes, reducing economic signal clarity.
Tickers	AUDUSD, EURUSD, GBPUSD, USDCAD, USDJPY
Indicators	Short term: 40 days volatility, 60 days return, 80 days momentum Long term: 140 days volatility, 150 days return, 400 days momentum

1. Portfolio Composition

- EURUSD (EUR/USD Exchange Rate — Currencies)
 - GBPUSD (GBP/USD Exchange Rate — Currencies)
- USDJPY (USD/JPY Exchange Rate — Currencies)
 - AUDUSD (AUD/USD Exchange Rate — Currencies)
 - USDCAD (USD/CAD Exchange Rate — Currencies)

Sector Allocation



Macro Profile Insight

- Macro coverage**
- Single-sector portfolio (Currencies): full dependence on sector-specific dynamics.
- Structural properties**
- Size distribution neutral: no dominant capitalization pattern detected.
 - Concentration risk: portfolio heavily exposed to forex instruments.
 - Liquidity stance: ample trading liquidity overall.
 - Defensive beta tilt: lower systematic risk profile.
 - Volatility profile skewed to dynamic/speculative names.
- Additional comments**
- Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization



Top Positive Correlations
30.0% of portfolio

Pair	Correlation
EURUSD / GBPUSD	0.69
AUDUSD / GBPUSD	0.67
AUDUSD / EURUSD	0.62

Top Neutral Correlations
10.0% of portfolio

Pair	Correlation
USDCAD / USDJPY	0.21

Top Negative Correlations
60.0% of portfolio

Pair	Correlation
AUDUSD / USDCAD	-0.69
GBPUSD / USDCAD	-0.54
EURUSD / USDCAD	-0.5
EURUSD / USDJPY	-0.47
GBPUSD / USDJPY	-0.39

Overall, average cross-sector correlation was -0.07, ranging from -0.69 to 0.69. This suggests very strong diversification — sectors move largely independently. Correlation dispersion is wide, showing sharp contrasts between sectors. Strongest co-movement between EURUSD and GBPUSD (0.69); weakest between AUDUSD and USDCAD (-0.69). Idiosyncratic regime: sector movements remain largely uncorrelated.

3. Key Performance Indicators

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
AUDUSD	-0.00	0.41	-0.005	-0.01	neutral	subdued	very_liquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.
EURUSD	0.01	0.38	0.018	-0.02	neutral	subdued	very_liquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.
GBPUSD	0.01	0.41	0.014	-0.03	neutral	normal	very_liquid	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, with ample liquidity.
USDCAD	0.04	0.22	0.167	0.04	neutral	subdued	very_liquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.
USDJPY	0.03	0.53	0.048	0.06	neutral	normal	very_liquid	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, with ample liquidity.

Top by Average Return

Ticker	AvgReturn(%)
USDCAD	0.04
USDJPY	0.03
GBPUSD	0.01
EURUSD	0.01
AUDUSD	-0.0

Top by Volatility

Ticker	Volatility(%)
USDJPY	0.53
AUDUSD	0.41
GBPUSD	0.41
EURUSD	0.38
USDCAD	0.22

Top by Momentum

Ticker	Momentum(%)
USDJPY	0.06
USDCAD	0.04
AUDUSD	-0.01
EURUSD	-0.02
GBPUSD	-0.03

3.b Rotation & Stress Metrics

Ticker	ΔReturn (pp)	Momentum Ratio	Signal	Volatility Ratio	Beta	ADV10 USD	Interpretation
AUDUSD	-0.10	0.10	0.009	0.56	-0.24	—	stable performance, momentum collapsing, volatility compressing, within defensive profile, within normal liquidity conditions.
EURUSD	-0.09	-0.20	-0.017	0.70	-0.17	—	stable performance, momentum collapsing, volatility compressing, within defensive profile, within normal liquidity conditions.
GBPUSD	-0.09	-0.30	-0.023	0.85	-0.13	—	stable performance, momentum collapsing, volatility normalizing, within defensive profile, within normal liquidity conditions.
USDCAD	0.14	0.40	0.029	0.67	0.13	—	stable performance, momentum collapsing, volatility compressing, within defensive profile, within normal liquidity conditions.
USDJPY	-0.07	-0.60	-0.037	0.78	-0.08	—	stable performance, momentum collapsing, volatility compressing, within defensive profile, within normal liquidity conditions.

■ Moderate-impact observations

For AUDUSD, EURUSD, GBPUSD, USDCAD, USDJPY: *Technical rebound* — improving momentum while returns are still limited. (avg ann. return 0.0%, momentum 0.0%, vol 0.4%)